Improving Spending Awareness on Google Pay without Adding Payment Friction



Google Pay

PRESENTED BY
Prakhar Agrawal

Company Overview:

Google Pay (GPay) is one of the leading digital payment platforms in India, operating under Google India Digital Services Private Limited (previously known as Tez). It operates as a Third-Party Application Provider (TPAP) within the UPI ecosystem, having launched in 2017. It currently holds a significant market share (approx. 35-37%) in UPI transactions in India, competing heavily with PhonePe and Paytm.

Google Pay (GPay) holds a dominant position in India's digital payments market with approximately 67 million monthly active users as of early 2025

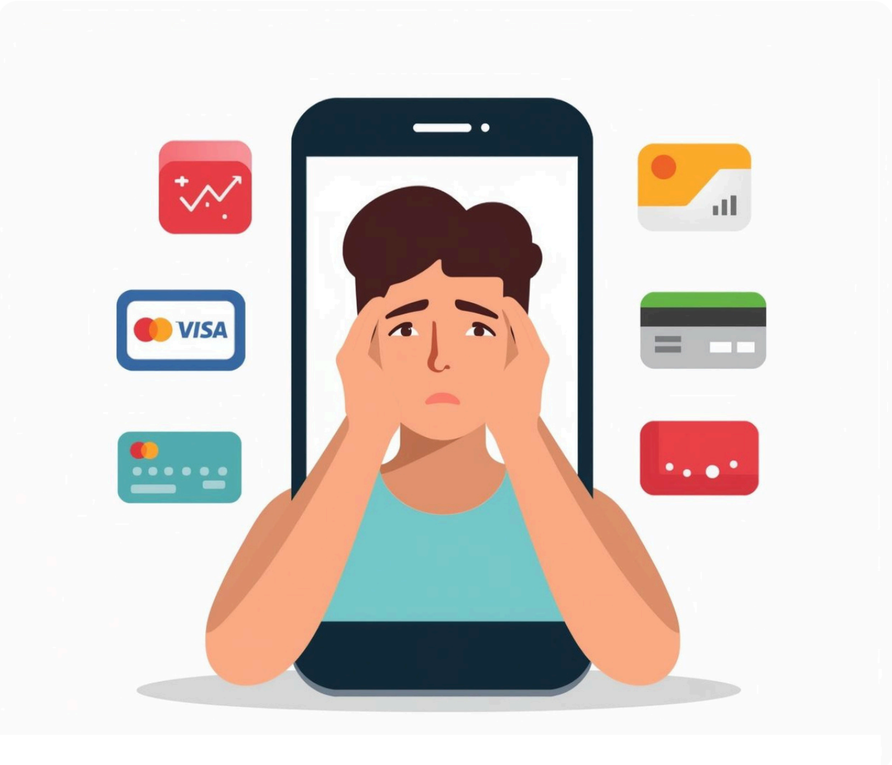


Understanding The Problem Statement

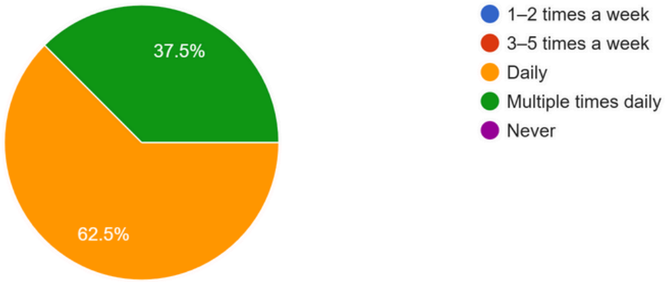
With the rise of frictionless UPI payments, users increasingly lose track of their spending.
Payments happen instantly, but spending awareness often happens much later—typically at the end of the week or month—when corrective action is no longer possible.
As a result, users experience:

- Overspending without realising it
- Financial stress and regret at month-end
- Reduced sense of control over their money

How might Google Pay help users become financially aware without interrupting the payment experience?



How often do you use Google Pay / UPI apps?
16 responses



Current User Journey – Spending Awareness on Google Pay



	Need to Pay	Payment Execution	Repeated Transactions	No Feedback	Late Realisation
Rohit wants to pay for food, transport or split a bill • Opens Google Pay instinctively	• Rohit wants to pay for food, transport or split a bill. • Opens Google Pay instinctively	• Completes UPI payment in a few seconds. • Receives confirmation screen	• Makes multiple small payments across the day/ week. • Each transaction feels insignificant	• Transaction history exists but is rarely checked. • No proactive insights or summaries shown.	• Reviews bank balance at week-end/ month-end. • Realises overspending has occurred.
Pain Point:	**Pain Point:** No context on cumulative spending	**Pain Point:** Money feels "invisible" due to frictionless payments	**Pain Point:** No awareness during the spending journey	**Pain Point:** Awareness comes too late to take corrective action	**Pain Point:** Awareness comes too late to take corrective action

Key Journey Insight: The core problem is not payment, but the absence of a feedback loop during and after spending.

Why This Matters

Frequent Payments

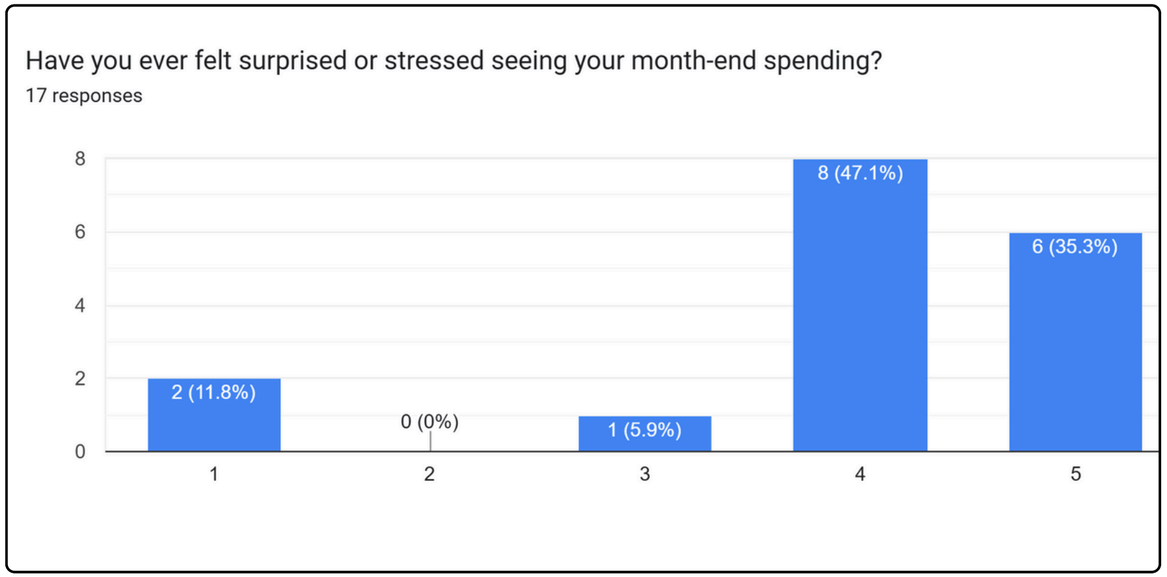
UPI transactions happen multiple times daily.

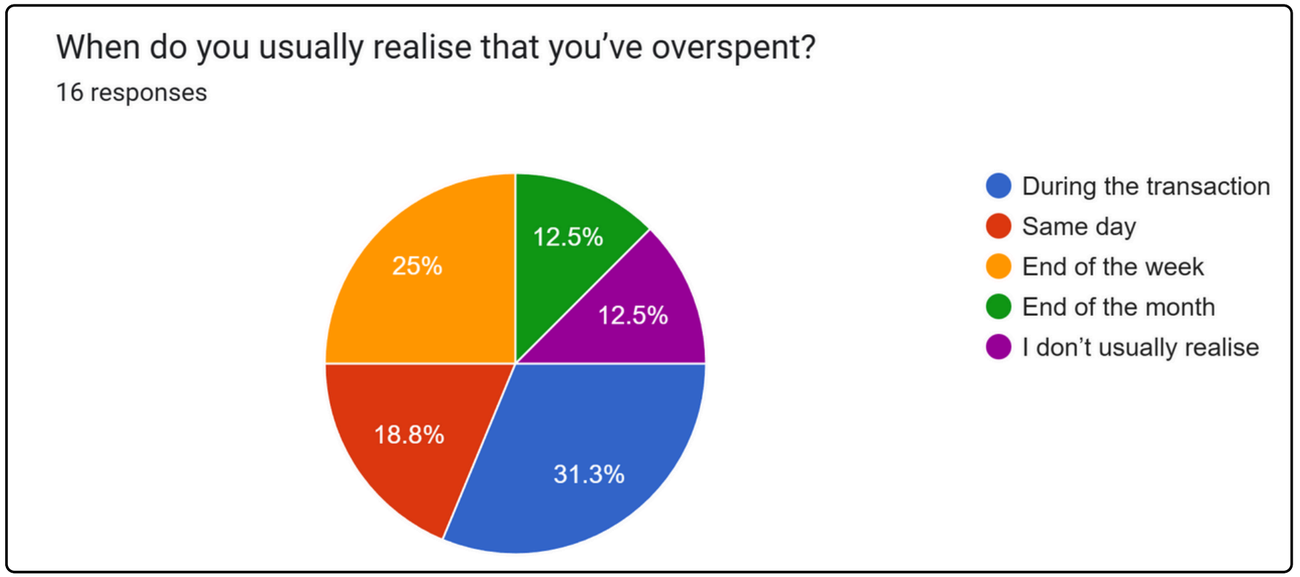
Impulsive Spending

Lack of context encourages reckless spending.

Late Realization

Overspending is noticed after transactions occur.

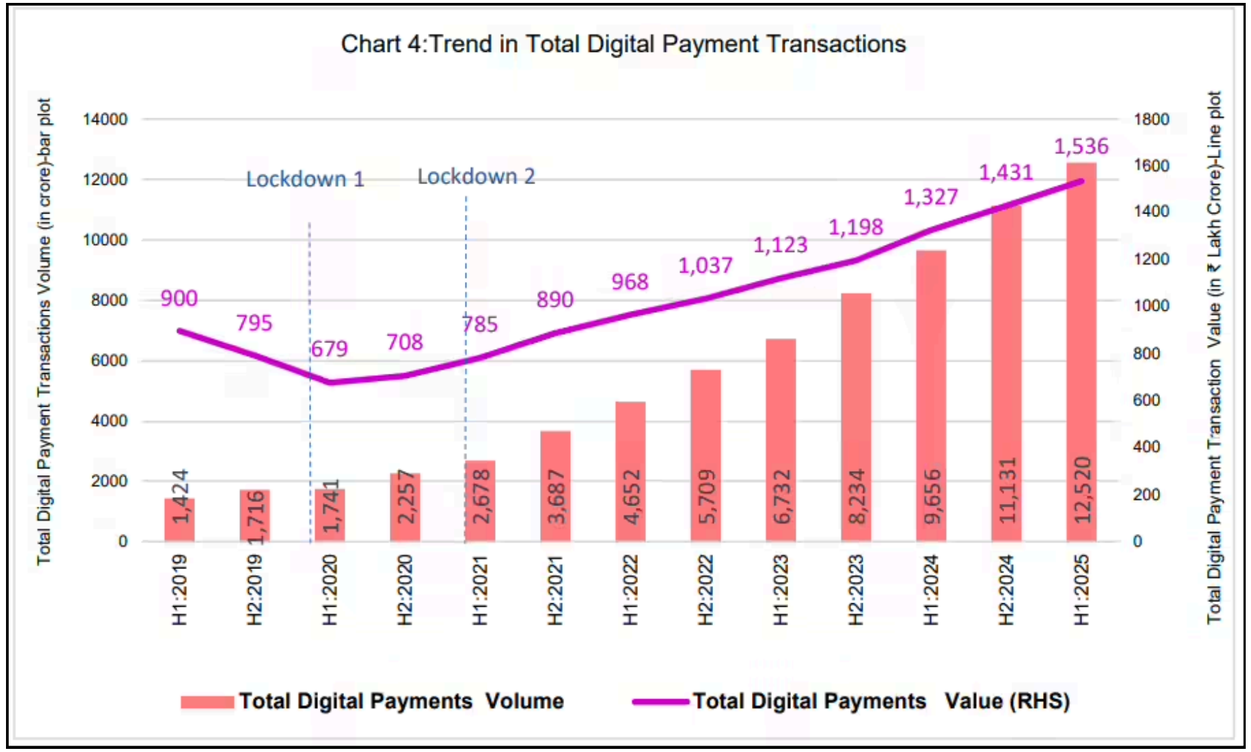




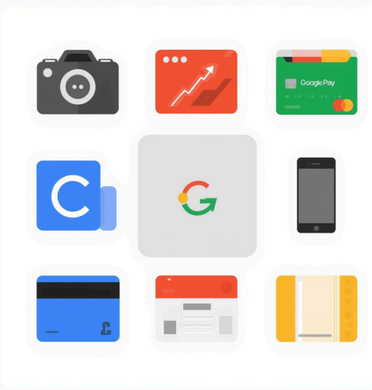
Market Research

- Post-2021, digital payment volumes show a strong upward trajectory, indicating that digital payments have become a habitual behaviour rather than a one-time shift.
- The continued rise in transaction value suggests increasing user trust and reliance on digital payments for everyday expenses.

- Google Pay (GPay) is a dominant player in India's UPI ecosystem, holding approximately 34-36% market share in transaction volume as of late 2025, consistently ranking second behind PhonePe. It processed 7.4 billion transactions in August 2025 and 7.49 billion in December 2025, with a strong focus on P2P, merchant payments, and utility bill payments.
  src = ddnews.gov.in



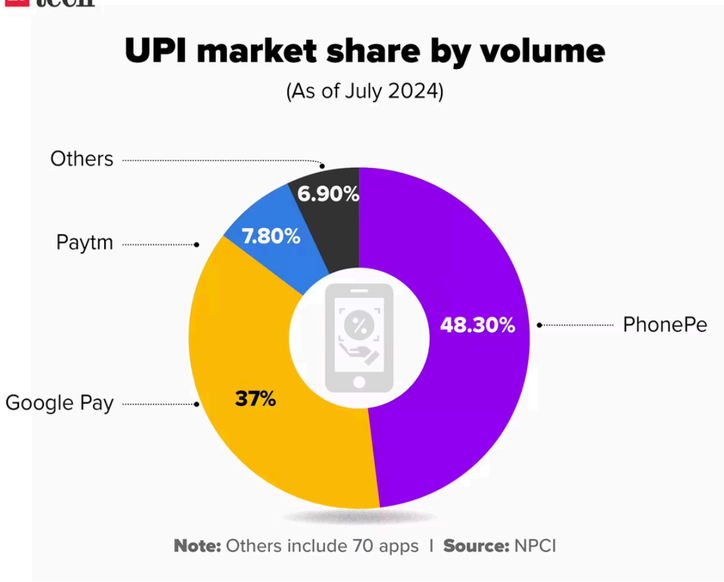
source: https://economictimes.indiatimes.com/news/economy/finance/digital-payments-comprise-99-8-of-total-transactions-volume-in-h1-2025-upi-transactions-rbi/articleshow/124760861.cms?from=mdr



Competitor Analysis in the Payment Space

	Google Pay	PhonePe	Paytm	BHIM
Market Share (Volume, Oct 2025)	~35%	~45.5%	~7.4%	~0.7%
Primary Focus	Simple, fast P2P and online transactions, integration with Google services.	Comprehensive (inancial services (investments, insurance, etc), with wide merchant acceptance.	All-in-one app, (wallet, shopping, bill payments, POS) with strong offline presence.	Simple, secure, government–backed app focused purely on core UPI transactions.
User Interface	Clean, minimalist, and easy to use.	Vibrant, feature-rich, but can be overwhelming for some users.	Can be perceived as cluttered due to integated marketplace features.	Minimalist, ad-free, and available in multiple Indian languages.
Rewards/Offers	Gamified "scratch cards" for potential cashback or vouchers.	Offers cashback, SuperCoins, and discount coupons.	Loyalty points and vouchers within its ecosystem.	Does not offer significant rewards or cashback.
Security	High user trust due to Google brand; uses AI for fraud	Considered safe with multi-layer encryption and fraud detection.	Follows NPCI guidelines; uses its own wallet (Paytm Paymens Bank).	Regarded as highly secure due to government backing and NCPI oversight.
Transaction Limit (Daily)	Up to ₹1 lakh.	Up to ₹1 lakh.	Up to ₹1 lakh.	Up to ₹1 lakh.
Transaction Fees	Generally free for all P2P and P2M UPI transactions.	Generally free for all P2P and P2M UPI transactions.	Generally free for all P2P and P2M UPI transactions.	Generally free for all P2P and P2M UPI transactions.

ET tech

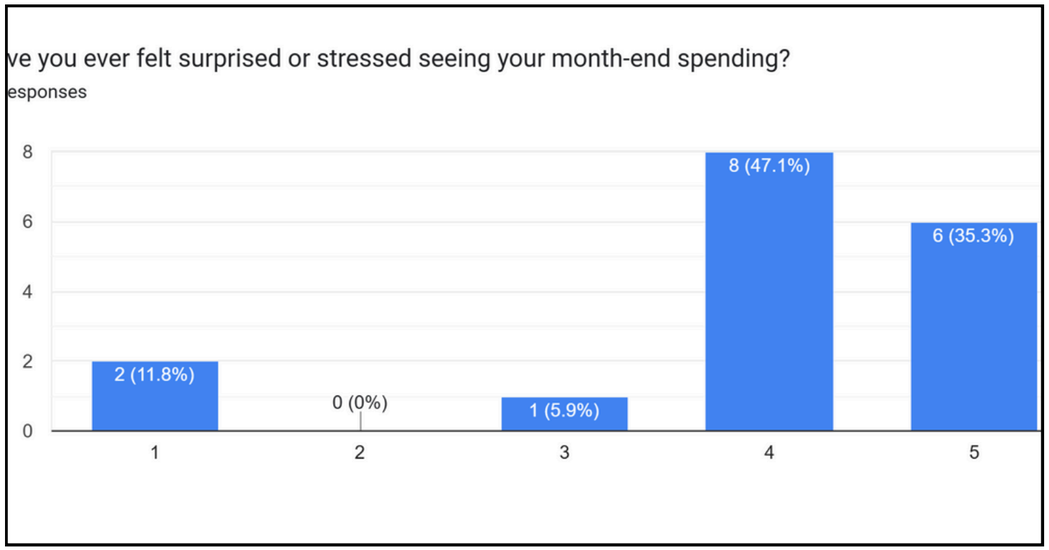


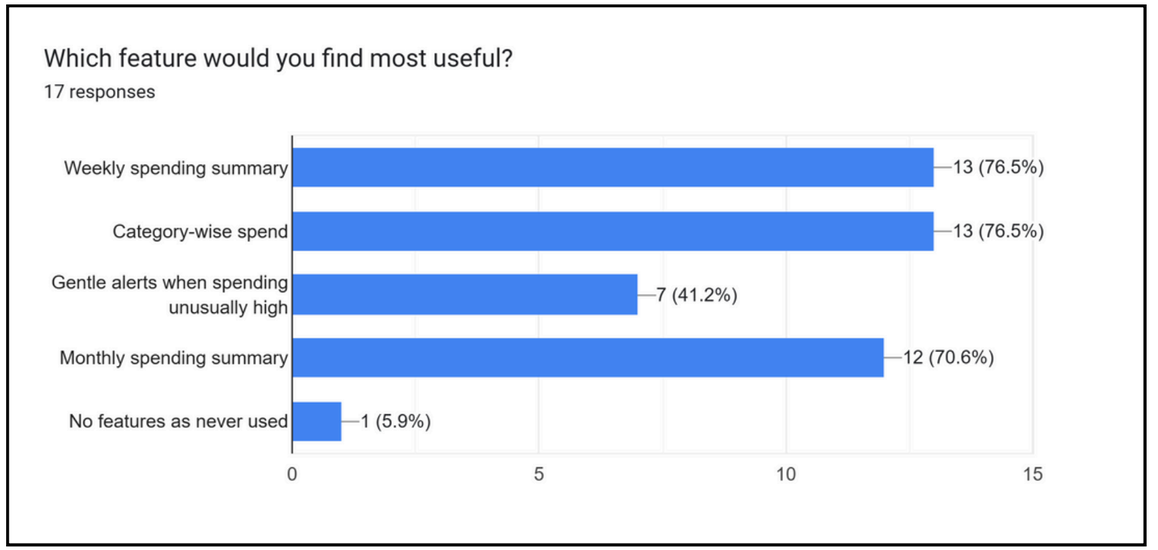
PhonePe leads UPI transaction volume primarily due to early market entry, extensive merchant acceptance, and a broader financial services ecosystem.

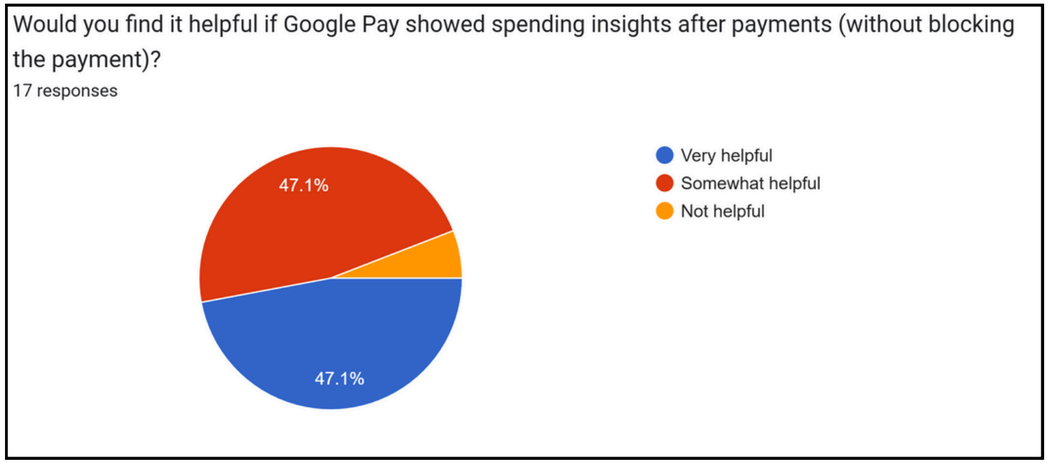
Primary User Research

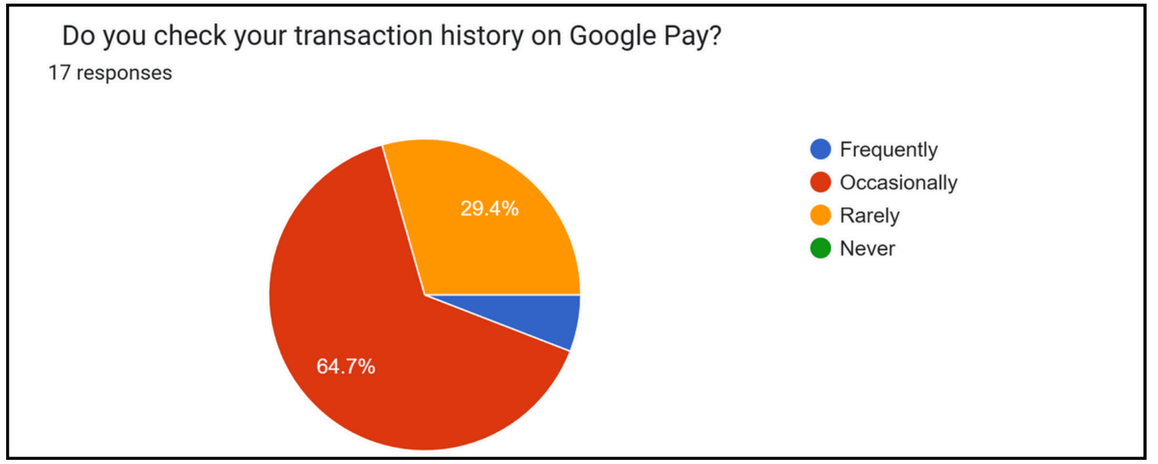
This section outlines the **methodology** for collecting insights from college students through a Google Form survey, aiming to understand their spending behaviors and awareness of UPI usage.

Source: Self-conducted user survey (Jan 2026)









User Personas

INSIGHTS INTO TARGET AUDIENCE

Primary User Persona

Primary Persona – College Student
Name: Panthpreet
Age: 20
Usage: Multiple UPI transactions daily
Pain: Loses track of small spends, month-end stress
Goal: Wants awareness and alerts





Seconadry User Persona

Secondary Persona – Working Professional
Name: Ankit
Age: 28
Usage: Regular UPI usage, higher-value spends
Pain: Lacks quick summaries, time-constrained
Goal: Wants periodic insights, not frequent nudges

Proposed Solutions

SPEND-TO-DATE PILL

Contextual benchmark shown during QR/NFC scan



POST-PAYMENT CONTEXTUAL INSIGHTS

Lightweight awareness after transactions



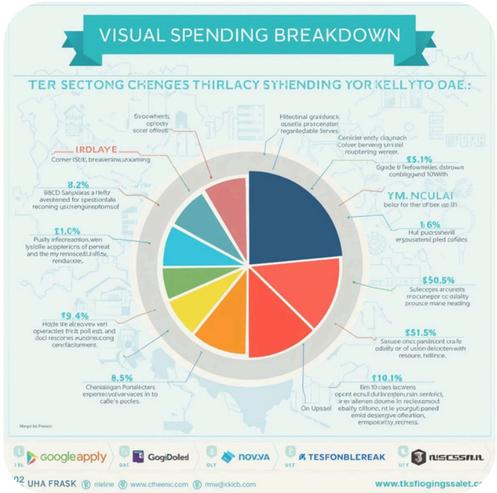
AUTO-CATEGORISED WEEKLY SUMMARY VISUAL SPENDING BREAKDOWN

Pay Button Color Change after exceeding threshold



AUTO-CATEGORISED WEEKLY SUMMARY

Visual spending breakdown



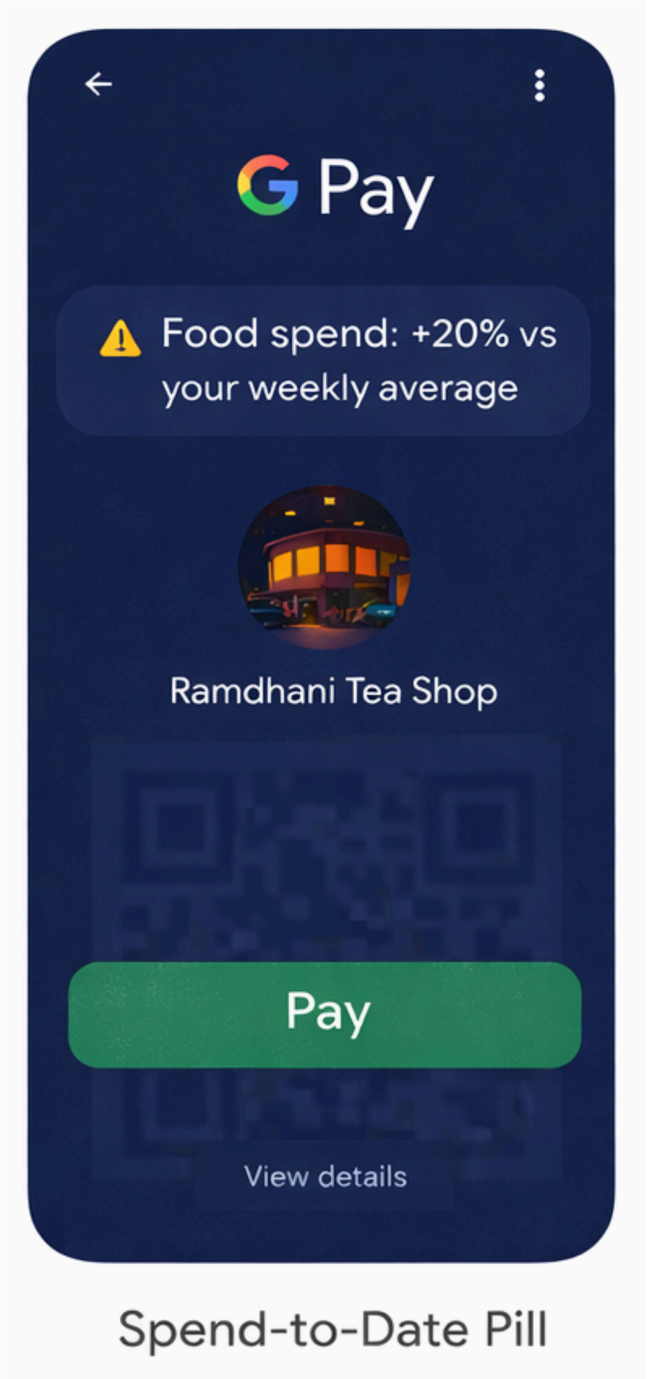
1. Spend-to-Date Pill

When the user scans a QR code or activates NFC, a small, non-intrusive pill appears on the screen showing category-wise spending compared to their usual behaviour.

- Example: “Dining spend this week: +20% vs your average”
- Appears before payment, but does not block it
- Provides relative context, not absolute numbers

Purpose:

Create awareness at the exact moment a spending decision is about to happen.



Spend-to-Date Pill

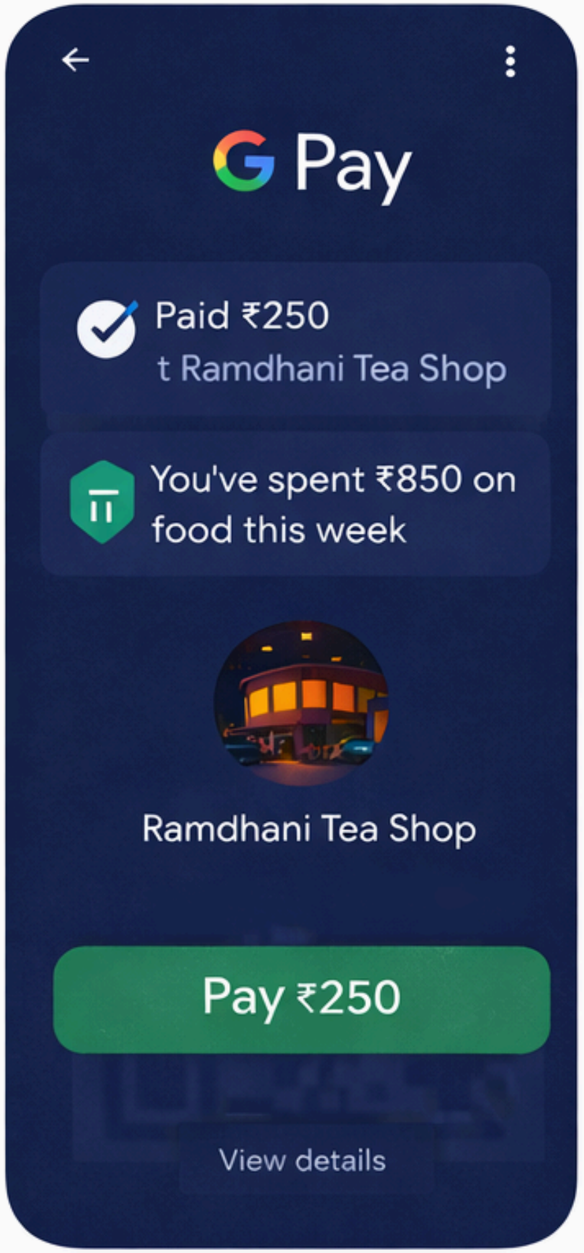
2. Post-Payment Contextual Insights

After a successful payment, Google Pay shows a brief insight related to recent spending.

- Example: “You’ve spent ₹850 on food this week”
- Shown only after payment completion
- Requires no additional user action

Purpose:

Reinforce awareness without interrupting the payment flow.



Post-Payment Insight

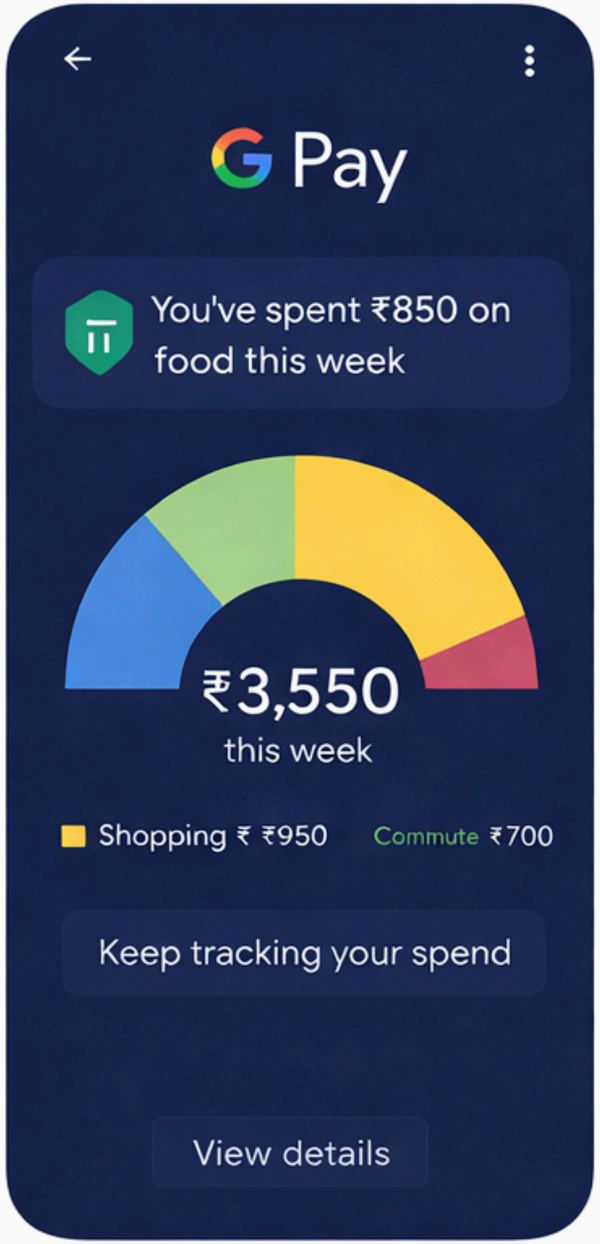
3. Auto-Categorised Weekly Spending Summary

Users receive a simple weekly summary of their spending, automatically categorised.

- Visual and easy to scan
- No manual tagging or setup
- Helps users recognise patterns over time
- For person-to-person payments without merchant metadata, Google Pay uses contextual signals to suggest a likely spending category. Users can confirm or correct the category with a single tap, enabling accurate categorisation for future transactions.

Purpose:

Enable reflection and pattern recognition with minimal effort.



Weekly Summary

4. Visual Spend Cues via Pay Button Color Change

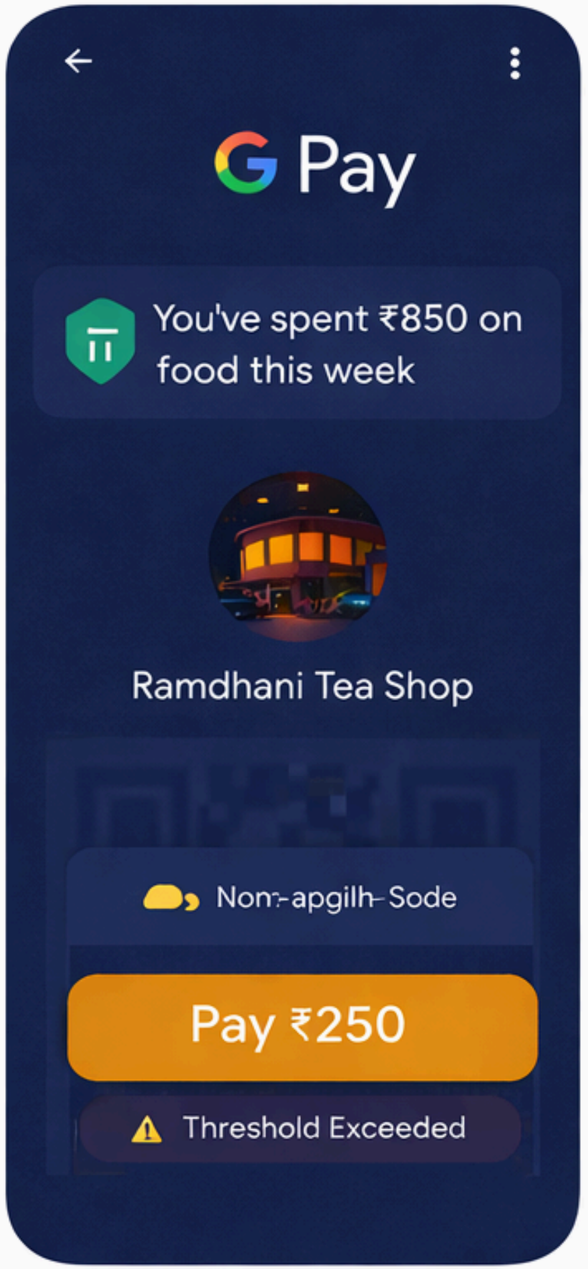
When a user-defined spending daily/weekly threshold is crossed, the Pay button subtly changes color.

- Green → normal spending
- Amber → approaching threshold
- Red tint → threshold exceeded

Payments are never blocked.

Purpose:

Provide intuitive, visual awareness without alerts or notifications.



Visual Spend Cues

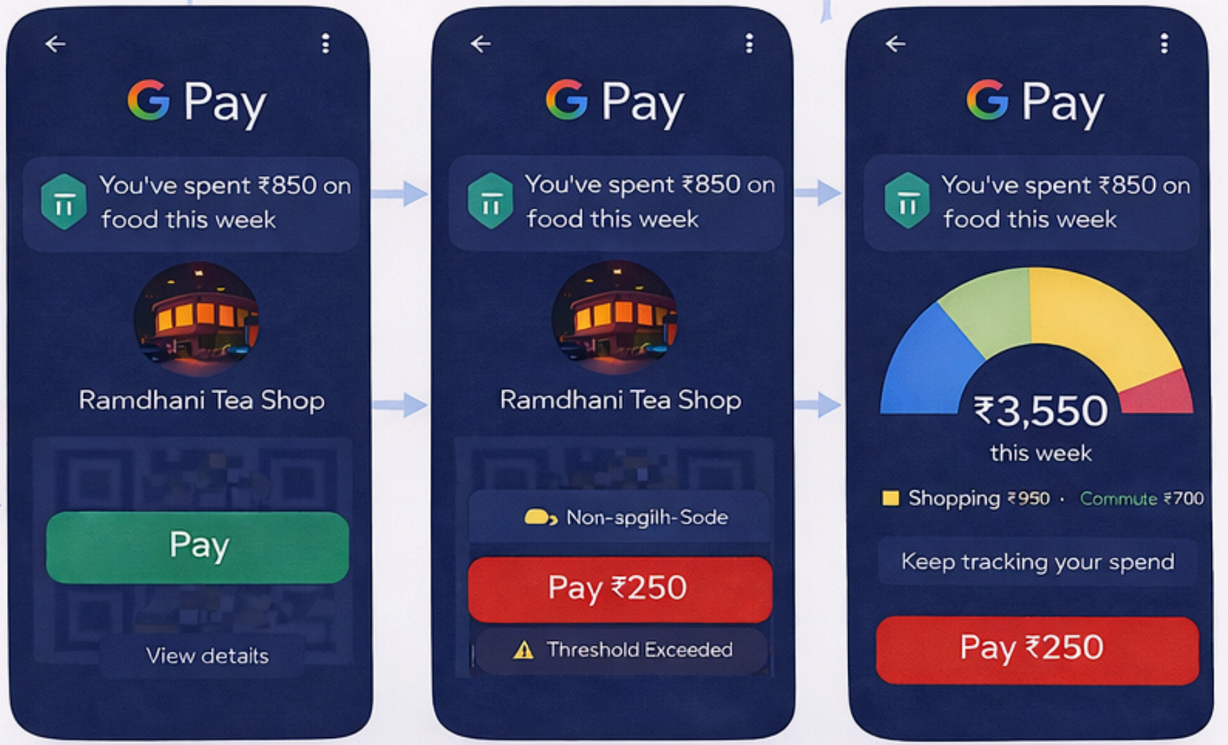
Solution Wireframing (Conceptual Flow)

User Flow with Proposed Solution

1. User opens Google Pay and scans QR / activates NFC
2. Spending Context Indicator appears with relative context
3. User taps Pay (payment remains uninterrupted)
4. Post-payment insight is shown on confirmation screen
5. Weekly summary aggregates spending patterns
6. Color cue reflects threshold status during future payments

Scan Screen → Spending Context

Confirmation Screen → Post Button → Color Cue



Scan Screen → Confirmation Screen → Home Screen

The solution integrates searlessly into existing flows instead of creating new ones

- All elements are lightweight and optional
- No additional steps are introduced in the payment flow
- Awareness is layered gradually across the journey

Solution Prioritization

EVALUATING IMPACT AND FEASIBILITY

Solution	User Impact	Business Impact	Tech Complexity	Time to Market	Strategic Fit	Priority
Spending Context Indicator (Scan Screen)	Very High	High	Medium	Medium	Very High	**1**
Post-Payment Contextual Insights	High	Medium	Low	High	High	**2**
Auto-Categorised Weekly Summary	Medium	Medium	Low	High	Medium	**3**
Visual Spend Cues (Pay Button Color Change)	Medium	Medium	Low–Medium	Medium	Medium	**4**

SUCCESS METRICS

Success is achieved when users feel more in control of their spending without reducing payment frequency or trust.

User Impact Metrics

- ✓ % users engaging with spending context indicator
- ✓ Reduction in late spending surprises
- ✓ Weekly summary open rate

Behavioral Change Metrics

- ✓ Reduction in repeated overspending in key categories
- ✓ Increased awareness actions (pause, smaller spends)
- ✓ Category accuracy improvement for P2P payments

Business Health Metrics

- ✓ Retention of users exposed to awareness features
- ✓ Daily active usage stability
- ✓ Feature opt-in and customisation rates

Short-term: Engagement & opt-ins

Mid-term: Behavioral signals

Long-term: Retention & trust

GO-TO-MARKET STRATEGY

WHO?

- ✓ College students
- ✓ High-frequency UPI users

WHY?

- ✓ Strong overspending pain
- ✓ High impact from awaress nudges

HOW?

- ✓ In-app prompts (non-intrusive)
- ✓ Contextual awareness during payment
- ✓ Gradual feature discovery

Launch Roadmap (90 Days)

- **Phase 1 (0–30 days):** Pilot
  - Rollout to college students & high-frequency UPI users
  - Opt-in awareness features
  - Focus on metro & campus haavy locations
- **Phase 2 (30–60 days):** Iterate
  - A/B test wording of **spending context indicator**
  - Tune color-cue **intensity** & thresholds
  - Improve P2P catagorisation accuracy
- **Phase 3 (60–90 days):** Scale
  - Enable option for new users
  - Add personalisation controls
  - Gradual expansion to wider user base

Improving **spending awareness** without slowing down payments.

THANKYOU



Submitted By: Prakhar Agrawal
25JE0392